

Economies of scale

As a car firm produces more cars, the average cost of production per car varies. Increasing production from low levels, the average cost per unit will fall – a phenomenon known as economies of scale. Why should this be the case? Car production is highly capital intensive, requiring a large initial investment in factories and machines. As more cars are produced, these fixed costs get spread over greater output. In order to make use of its assembly lines, the firm also needs workers specialized in particular tasks – this improves efficiency and lowers average costs when production is high.

It is also possible for production costs to rise rather than fall as output increases. This might happen when the firm is producing so many cars that it is hard to coordinate different parts of the firm. Different departments may not know what the others are doing, perhaps leading to the duplication of efforts. Such a situation gives rise to so-called diseconomies of scale.

